

Sridhar Vembu, the CEO and Co-founder of SaaS player Zoho Corporation, made the unusual trek from Silicon Valley to a village in the Tenkasi district of Tamil Nadu much before working from home became a thing. That's not the only thing that sets his digital company apart from its peers. Zoho, a globally successful player, has never raised mind-boggling sums of money—in fact it has never raised funding. Vembu, who is the ultimate bootstrapped billionaire, has no interest in valuations, he tells *Business Today's* Global Business Editor **Udayan Mukherjee** in a freewheeling interview. The Zoho CEO explains why the company will stay private, why it is important to nurture talent and why it is difficult to define moonlighting. Edited excerpts:

66 |

Q: You've always stayed away from venture capital funding and private equity funding, much before the difficult times arrived. What made you stay away?

A: From the early days, I wanted to avoid venture capital [funding] because I wanted to build a company for the long haul, with a focus on our freedom to be ourselves. I felt that if we took venture capital [funds], we would have to provide an exit eventually. This could be an acquisition, which would mean we would lose our independence; or go public, in which case, we would, again, lose our independence. I felt that being private would give us the freedom to invest for the very long term. A lot of the things we do are focussed on the long term... which is very difficult to do when you have venture capital or public markets breathing down your neck—because quarter to quarter profitability becomes very important. That's why we decided to stay private.

Q: I take your point. But did you foresee that reliance on external capital might warp the business model of your company in a way that you will not be able to focus on profitability on an annual basis to drive the company forward, which is what a lot of digital companies seem to be trapped in today?

A: Yeah, it was clear. In 1999-2000, there was a dot-com bubble. A lot of companies raised huge rounds of money and then fell by the wayside in 2001-02; and then there was a big drought in VC funding for a while. That was a good lesson. And it also emphasised that if you raise money, you're forced to spend it, and you'll lose profitability. And then when the [funding] winter arrives, money is no longer available, and you're losing money. So, we decided that we will do it profitably. That necessarily meant growth would be slower, but steadier. And we have grown steadily over the past few years; we have crossed \$1 billion in revenue, and we are now accelerating. The reason for the acceleration is now we have the depth and breadth of the product portfolio, which we could not have built up if we had raised money—because that long-term investment was not possible. So, in a sense, venture capital forces you to grow faster by investing more heavily in sales and marketing, as opposed to R&D. And sales and marketing will give you an immediate boost in growth. But if you don't invest enough in R&D, you won't have long-term growth. So that's the trade-off we were able to make: long-term growth versus immediate growth.

Q: How profitable is Zoho? Being a private company, not much information is available in the public domain. Could you give us a sense of what your profitability metrics are?

A: We pay taxes [to the Indian government every year]. Our taxes would give you an idea of the profitability. Last year [FY22], we paid ₹600 crore-plus in taxes. We've been consistently profitable for several years now—actually decades—and we are also steadily growing. But we are reinvesting that profit into R&D, into our expansion, data centres, geographic expansion—all of that.

“I truly don't care about valuations. What matters is do we have enough resources to invest in the areas we are investing in? Are we growing? Do our products come to fruition? Do we keep our employees... [and] customers happy? I consider [it] a luxury we can afford because we are private”
